

Californian Counties Hospital Analysis: Key Findings & Actionable Recommendations

1. Alameda County shows the highest operational risk

- Between 2020 and 2025, Alameda County experienced an **8% decline** in hospital employment alongside a **29.9% increase in average weekly wages**; the most severe combination of workforce shrinkage and cost pressure in the dataset.
- **Action:** Prioritize Alameda County for immediate intervention. Conduct a targeted workforce assessment, review compensation strategies, and explore partnerships with local educational institutions to build a sustainable talent pipeline. Without action, this county faces the highest risk of service reductions.

2. Wage growth varies dramatically across counties

- Orange County recorded the **highest wage growth** at approximately 66%, consistently exceeding the national Employment Cost Index. In contrast, San Joaquin County saw only 9.6% wage growth, and Fresno County had the lowest pressure relative to the national benchmark.
- **Action:** Investigate the drivers behind Orange County's 66% wage growth – is it competitive market forces, staff shortages, or unsustainable cost escalation? If the latter, implement cost-containment measures. Use Fresno County as a benchmark for cost efficiency and study its compensation practices.

3. Los Angeles shows workforce resilience despite its size

- Los Angeles County maintained the largest hospital workforce throughout the study period with only a **slight employment decline**, indicating greater labor market stability compared to other regions.
- **Action:** Study Los Angeles' workforce retention practices and apply them to high-risk counties like Alameda. Identify what enables LA to maintain workforce stability despite its scale.

4. Private hospitals dominate, federal hospitals pay highest

- Private hospitals represent the largest ownership share across the counties, but **federal hospitals offer the highest median weekly wages**, reflecting structural compensation differences across ownership types.
- **Action:** Private hospital operators should benchmark their compensation against federal facilities to remain competitive without overextending budgets. Use federal wage data as a reference point for designing equitable pay structures.